

Module 6 – Strategy Evaluation

Detailed Notes for MBA / Strategic Management

Strategy evaluation is the final stage of the strategic management process. It helps an organisation determine whether its strategies are achieving the desired results and whether corrective action is required.

The basic strategic management process is:

Strategy Formulation → Strategy Implementation → Strategy Evaluation

1. Meaning of Strategy Evaluation

Strategy evaluation is the process of systematically reviewing and assessing whether a strategy is achieving organisational objectives and whether it remains appropriate in the changing business environment.

Simple Definition

Strategy evaluation is the process of measuring strategic performance, comparing actual results with planned objectives, identifying deviations, and taking corrective action.

Example

Suppose a company sets a goal to increase market share from 20% to 30% in three years.

After one year:

- Target = 23%
- Actual market share = 21%

The organisation evaluates:

- Why is performance below target?
 - Is the strategy working?
 - Has competition increased?
 - Are customers changing their preferences?
 - Should the strategy be modified?
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2. Importance of Strategy Evaluation

Strategy evaluation is important because the business environment is constantly changing.

1. Measures Performance

It determines whether organisational objectives are being achieved.

2. Identifies Problems

It helps identify weaknesses in strategy implementation.

3. Supports Corrective Action

Managers can take corrective measures when performance is below expectations.

4. Ensures Strategic Alignment

It ensures that organisational activities remain aligned with strategic objectives.

5. Adapts to Environmental Changes

Changes in:

- **Technology**
- **Competition**
- **Government regulations**
- **Customer preferences**
- **Economic conditions**

may require strategy modification.

6. Improves Resource Utilisation

Evaluation helps ensure resources are being used effectively.

7. Encourages Organisational Learning

Organisations learn from:

- **Successes**
- **Failures**
- **Mistakes**
- **Market changes**

3. Process of Evaluating Strategies

The strategy evaluation process generally consists of three major activities:

1. Reviewing the Basis of Strategy

2. Measuring Organisational Performance

3. Taking Corrective Action

Step 1: Review the Basis of Strategy

Management reviews the assumptions on which the strategy was developed.

For example:

- Are customer preferences still the same?
- Has competition changed?
- Is the technology still relevant?
- Have government policies changed?
- Are economic conditions favourable?

If the assumptions have changed significantly, the strategy may need modification.

Step 2: Measure Organisational Performance

Performance is measured using:

Financial Measures

- Revenue
- Profit
- Return on Investment (ROI)
- Earnings
- Cash flow
- Cost reduction

Non-Financial Measures

- Customer satisfaction
- Employee satisfaction
- Product quality
- Market share
- Innovation

- Brand reputation
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Step 3: Compare Actual Performance with Planned Performance

Managers compare:

Actual Performance vs Planned Performance

If actual performance meets or exceeds the target, the strategy may be continued.

If performance is below expectations, managers investigate the reasons.

Step 4: Identify Deviations

A deviation is the difference between planned and actual performance.

Example

Target sales = ₹10 crore

Actual sales = ₹8 crore

Deviation = ₹2 crore

Management must identify why the deviation occurred.

Step 5: Take Corrective Action

Corrective actions may include:

- Changing the strategy
 - Improving implementation
 - Allocating additional resources
 - Changing organisational structure
 - Providing employee training
 - Modifying objectives
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4. Strategy Evaluation Framework

A strategy evaluation framework provides a systematic approach to evaluating strategic performance.

A simple framework is:

Strategic Objectives



Performance Standards



Actual Performance



Performance Measurement



Comparison



Identify Variance



Corrective Action



Feedback

Three Key Questions in Strategy Evaluation

Question 1: Is the strategy still appropriate?

The organisation should ask whether the strategy remains suitable given current environmental conditions.

Question 2: Is the strategy being implemented effectively?

Even a good strategy may fail because of poor implementation.

Question 3: Are the desired results being achieved?

The organisation should compare actual results with strategic objectives.

5. Strategic Evaluation Criteria

A strategy can be evaluated based on several criteria.

1. Consistency

The strategy should be consistent with organisational objectives and policies.

2. Consonance

The strategy should fit the external environment.

3. Advantage

The strategy should help create or maintain competitive advantage.

4. Feasibility

The organisation should have sufficient resources and capabilities to implement the strategy.

Easy Memory Trick

C-C-A-F

Consistency – Consonance – Advantage – Feasibility

6. Balanced Scorecard

Meaning

The Balanced Scorecard (BSC) is a strategic performance management tool developed by Robert S. Kaplan and David P. Norton.

It evaluates organisational performance from multiple perspectives instead of focusing only on financial performance.

The four major perspectives are:

- 1. Financial**
 - 2. Customer**
 - 3. Internal Business Processes**
 - 4. Learning and Growth**
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7. Four Perspectives of Balanced Scorecard

1. Financial Perspective

This examines whether the organisation is achieving its financial objectives.

Measures

- Revenue growth
- Profitability
- Return on investment
- Cash flow
- Cost reduction

Key Question

"How do shareholders view our performance?"

2. Customer Perspective

This examines how customers perceive the organisation.

Measures

- Customer satisfaction
- Customer loyalty
- Customer retention
- Market share
- Number of new customers

Key Question

"How do customers see us?"

3. Internal Business Process Perspective

This examines the efficiency and effectiveness of internal processes.

Measures

- Product quality
- Production efficiency
- Delivery time
- Innovation
- Process efficiency

Key Question

"What processes must we excel at?"

4. Learning and Growth Perspective

This examines the organisation's ability to improve and grow.

Measures

- **Employee skills**
- **Employee training**
- **Employee satisfaction**
- **Innovation capability**
- **Technology infrastructure**

Key Question

"How can we continue to improve and create value?"

8. Balanced Scorecard Example

Suppose a bank wants to improve its digital banking business.

Perspective	Strategic Objective	Measure
Financial	Increase digital revenue	Digital revenue growth
Customer	Improve customer experience	Customer satisfaction
Internal Process	Reduce transaction time	Average processing time
Learning & Growth	Improve employee digital skills	Training completion rate

The Balanced Scorecard ensures that the bank does not focus only on profits but also on customers, processes, and employee capabilities.

9. Benefits of Balanced Scorecard

- **Provides a comprehensive view of performance**
- **Connects strategy with measurable objectives**
- **Balances financial and non-financial measures**
- **Improves strategic communication**

- Helps identify performance gaps
 - Encourages long-term thinking
 - Aligns departments with organisational strategy
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10. Limitations of Balanced Scorecard

- Can be difficult to implement
 - Requires accurate data
 - Selecting the right measures can be challenging
 - May require significant time and resources
 - Poorly designed indicators can lead to wrong conclusions
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11. Characteristics of an Effective Strategy Evaluation System

An effective evaluation system should have the following characteristics:

1. Economical

The cost of evaluation should not exceed its benefits.

2. Meaningful

The system should focus on important strategic factors.

3. Timely

Information should be available when managers need it.

4. Accurate

Performance information should be reliable.

5. Flexible

The system should adapt to environmental changes.

6. Simple

The evaluation process should be easy to understand.

7. Objective

Evaluation should be based on facts and reliable data.

8. Focused on Corrective Action

The system should help managers identify what needs to be improved.

9. Future-Oriented

Evaluation should help predict future performance, not just analyse past results.

10. Consistent with Organisational Goals

The evaluation system should measure factors that support strategic objectives.

12. Contingency Planning

Meaning

Contingency planning is the process of preparing alternative plans to deal with unexpected events or situations that may affect an organisation's strategy.

Simple Definition

A contingency plan is a backup strategy prepared in advance for unexpected situations.

Examples of Contingencies

- Economic recession
 - Natural disasters
 - Cyberattacks
 - Supply chain disruption
 - Sudden competitor entry
 - Technology failure
 - Political instability
 - Pandemic
 - Loss of key employees
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Steps in Contingency Planning

Step 1: Identify Potential Risks

Identify events that could negatively affect the organisation.

Step 2: Assess the Impact

Determine how serious each risk could be.

Step 3: Develop Alternative Plans

Create strategies for different scenarios.

Step 4: Assign Responsibilities

Determine who will manage the response.

Step 5: Allocate Resources

Keep necessary financial, human, and technological resources available.

Step 6: Monitor Warning Signals

Identify early indicators of potential problems.

Step 7: Implement the Contingency Plan

Activate the alternative strategy when required.

Example

A company depends on one supplier for raw materials.

Main Strategy

Continue purchasing from the existing supplier.

Contingency Plan

Develop relationships with two alternative suppliers.

If the main supplier fails, the organisation can quickly switch suppliers.

13. Importance of Contingency Planning

- **Reduces uncertainty**
- **Minimises risk**
- **Improves organisational preparedness**
- **Protects business continuity**
- **Reduces response time**
- **Supports crisis management**
- **Protects organisational resources**

14. Role of Organisational Systems in Strategy Evaluation

Organisational systems provide the information and mechanisms needed to monitor strategy implementation and performance.

Major systems include:

- **Management Information Systems**
- **Accounting systems**
- **HR systems**
- **Marketing information systems**
- **Production systems**
- **Performance management systems**

1. Management Information Systems (MIS)

MIS provides managers with information about:

- **Sales**
- **Costs**
- **Operations**
- **Customers**
- **Performance**

This supports strategic decision-making.

2. Accounting and Financial Systems

These systems provide information on:

- **Revenue**
- **Expenses**
- **Profit**
- **Cash flow**
- **ROI**

3. Human Resource Systems

HR systems help evaluate:

- **Employee performance**
 - **Employee turnover**
 - **Absenteeism**
 - **Training**
 - **Employee satisfaction**
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4. Marketing Information Systems

These systems provide information about:

- **Customer behaviour**
 - **Market share**
 - **Sales**
 - **Customer satisfaction**
 - **Competitor activity**
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5. Production and Operations Systems

These help evaluate:

- **Productivity**
 - **Quality**
 - **Production costs**
 - **Inventory**
 - **Delivery time**
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6. Performance Management Systems

These systems connect:

Objectives → Performance Indicators → Evaluation → Rewards

They help managers monitor whether employees and departments are contributing to strategic objectives.

15. Emerging Trends and Issues in Strategic Management

The strategic management environment is changing rapidly due to:

- Globalisation
- Digital transformation
- Artificial intelligence
- Climate change
- Sustainability
- Cybersecurity
- Changing customer expectations
- Regulatory changes

Two important emerging areas are:

1. ESG initiatives
 2. Technology
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16. ESG Initiatives

Meaning of ESG

ESG stands for:

E – Environmental

How an organisation affects the environment.

S – Social

How an organisation treats people and contributes to society.

G – Governance

How an organisation is managed and controlled.

17. Environmental (E) Factors

Environmental factors focus on the organisation's impact on nature.

Examples

- **Climate change**
- **Carbon emissions**
- **Energy consumption**
- **Waste management**
- **Water usage**
- **Pollution**
- **Renewable energy**
- **Sustainable supply chains**

Strategic Importance

Companies may adopt strategies such as:

- **Renewable energy**
- **Energy-efficient operations**
- **Sustainable packaging**
- **Waste reduction**
- **Carbon reduction**

18. Social (S) Factors

Social factors focus on people and society.

Examples

- **Employee welfare**
- **Diversity and inclusion**
- **Human rights**
- **Workplace safety**
- **Customer protection**
- **Community development**
- **Labour practices**

Strategic Importance

Good social practices can improve:

- **Employee loyalty**
 - **Brand reputation**
 - **Customer trust**
 - **Talent attraction**
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19. Governance (G) Factors

Governance refers to how an organisation is directed and controlled.

Examples

- **Board structure**
- **Corporate ethics**
- **Transparency**
- **Accountability**
- **Anti-corruption policies**
- **Risk management**
- **Shareholder rights**

Strategic Importance

Good governance helps:

- **Reduce fraud**
 - **Improve accountability**
 - **Increase investor confidence**
 - **Manage risks**
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20. ESG and Strategic Management

ESG is increasingly becoming part of strategic decision-making.

The traditional objective of business was often viewed as:

Profit maximisation

Modern organisations increasingly consider:

Profit + People + Planet + Governance

ESG can influence:

- **Investment decisions**
 - **Business reputation**
 - **Risk management**
 - **Product development**
 - **Supply chain decisions**
 - **Employee attraction**
 - **Customer loyalty**
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21. Role of Technology in Strategic Management

Technology has transformed all stages of strategic management.

1. Strategy Formulation

Technology helps organisations collect and analyse information about:

- **Customers**
 - **Competitors**
 - **Markets**
 - **Industry trends**
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2. Strategy Implementation

Technology supports:

- **Automation**
 - **Digital platforms**
 - **Cloud computing**
 - **Enterprise Resource Planning (ERP)**
 - **Customer Relationship Management (CRM)**
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3. Strategy Evaluation

Technology enables real-time monitoring of:

- Sales
 - Costs
 - Customer behaviour
 - Employee performance
 - Key Performance Indicators (KPIs)
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22. Artificial Intelligence in Strategic Management

AI is increasingly used for:

- Predictive analytics
- Demand forecasting
- Customer segmentation
- Fraud detection
- Risk analysis
- Automated decision support

Example

A retailer can use AI to predict customer demand and adjust inventory accordingly.

23. Big Data and Analytics

Big Data allows organisations to analyse large amounts of information.

Strategic uses include:

- Identifying market trends
 - Understanding customer behaviour
 - Forecasting demand
 - Analysing competitors
 - Improving decision-making
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24. Cloud Computing

Cloud technology allows organisations to access:

- Data
- Software
- Applications
- Computing resources

through the internet.

Strategic Benefits

- Lower IT costs
 - Flexibility
 - Scalability
 - Remote access
 - Faster implementation
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25. Internet of Things (IoT)

IoT connects physical devices and collects real-time data.

Applications

- Smart manufacturing
 - Supply chain tracking
 - Predictive maintenance
 - Inventory monitoring
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26. Cybersecurity

As organisations become increasingly digital, cybersecurity has become a strategic issue.

Organisations must protect:

- Customer data
- Financial information
- Intellectual property

- **Business systems**

Cybersecurity should therefore be part of strategic risk management.

27. Digital Transformation

Digital transformation involves using technology to fundamentally change how an organisation:

- **Operates**
- **Serves customers**
- **Creates value**
- **Competes**

Examples

- **Traditional banking → Digital banking**
 - **Physical retail → E-commerce**
 - **Manual HR → HRIS**
 - **Traditional marketing → Digital marketing**
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28. Technology and Competitive Advantage

Technology can provide competitive advantage through:

Cost Reduction

Automation reduces operating costs.

Differentiation

Technology enables unique products and services.

Speed

Digital processes improve response time.

Customer Experience

Technology enables personalised services.

Innovation

Technology supports new products and business models.

29. Integrated Strategy Evaluation Framework

The complete Module 6 concept can be remembered as:

Strategic Objectives



Strategy Implementation



Performance Measurement



Compare Actual vs Planned Performance



Identify Deviations



Strategy Evaluation



Balanced Scorecard



Corrective Action



Contingency Planning



Continuous Monitoring



Adaptation to ESG and Technology Trends

30. Quick Revision Table

Topic	Key Point
Strategy Evaluation	Measures whether strategy is achieving objectives
Evaluation Process	Review strategy → Measure performance → Corrective action
Evaluation Framework	Objectives → Standards → Performance → Comparison → Correction
Balanced Scorecard	Evaluates financial and non-financial performance
Financial Perspective	Profit, revenue, ROI
Customer Perspective	Satisfaction, loyalty, market share
Internal Process	Quality, efficiency, innovation
Learning & Growth	Skills, training, innovation, technology
Effective Evaluation System	Accurate, timely, economical, flexible, meaningful
Contingency Planning	Preparing alternative plans for unexpected events
Organisational Systems	Provide data and information for evaluation
ESG	Environmental, Social, Governance
Technology	Supports formulation, implementation, and evaluation
AI	Predictive analytics and decision support
Big Data	Analysis of large datasets
Cloud Computing	Flexible and scalable digital infrastructure
Cybersecurity	Protects digital assets and information

Important Exam Answers – One-Line Definitions

Strategy Evaluation

Strategy evaluation is the systematic process of reviewing strategies, measuring performance, comparing actual results with objectives, and taking corrective action.

Balanced Scorecard

The Balanced Scorecard is a strategic performance management tool that evaluates organisational performance from four perspectives: financial, customer, internal business processes, and learning and growth.

Contingency Planning

Contingency planning is the preparation of alternative strategies to respond to unexpected events or changes in the business environment.

ESG

ESG stands for Environmental, Social, and Governance and represents the three major dimensions used to evaluate an organisation's sustainability and responsible business practices.

Role of Technology

Technology supports strategic management by enabling data-driven decision-making, automation, digital transformation, real-time performance monitoring, innovation, and competitive advantage.

Key Point to Remember

Strategy evaluation is not simply about checking past performance. It is a continuous process of measuring results, identifying deviations, learning from outcomes, adapting strategies, and preparing the organisation for future changes.